WELLS FARGO

Institutional Retirement and Trust

New fee disclosure rules: Practical guidance for retirement plan sponsors

Over the last few years, retirement plan fees and expenses, including compensation paid to plan service providers, has drawn increased attention. The discussion generated from all corners — individual participants, court cases, the Department of Labor (DOL), and Congress. With many questions, reform measures, and lawsuits bandied about, confusion escalated. Finally, in July 2010, interim regulations released by the DOL took a first step toward illuminating service provider fee disclosure. Then, in October 2010, the DOL released its final rules detailing newly required disclosure to participants to improve transparency of fees and expenses. While the two regulations are separate and distinct, together, they help ensure plan sponsors and plan participants receive comprehensive information on the fees associated with their retirement program(s).

The DOL service provider fee disclosure regulation will remedy some of the gray areas associated with disclosure of fees and expenses for retirement plans. The participant disclosure regulation appears to strike an appropriate balance between protecting the ultimate consumer — the retirement plan participant — without being totally unreasonable and burdensome for the plan sponsor. Much of the "newly" required information has consistently been provided to sponsors and participants over the years, just not necessarily in the specific form or timeframe now required.

To start, let's take a closer look at what the regulation requires.

Plan sponsor/service provider fee disclosure

Under the prohibited transaction rules of the Employee Retirement Income Security Act (ERISA), a "party in interest" cannot receive compensation for services unless the services are provided according to a contract and the contract is "reasonable" and services are "necessary." In addition, the compensation paid for the services must be reasonable. Since much of this terminology can be quite subjective, the DOL issued interim regulations on July 16, 2010, to help plan sponsors.

The interim regulations add a new requirement that, in order for a contract to be considered reasonable, certain fee disclosures must be provided to the plan fiduciary. While it is the plan fiduciary's duty to select and monitor service providers and investments in the best interest of the plan participants, the new requirements will require service providers to more clearly detail what compensation they receive and where their compensation is coming from. This will better equip the plan sponsor to document the fees paid and determine whether they are reasonable and necessary.

Plans affected:
"Covered plans" affected by this regulation include defined contribution (including 403(b) plans) and defined benefit plans of all sizes that are subject to ERISA. Plans not covered include governmental plans, non-electing church plans, unfunded excess benefit plans, SEPs, SIMPLEs, IRAs, and non-ERISA 403(b) plans.

Service providers affected:
A "covered service provider" is any person or entity expecting to receive $1,000 or more in direct or indirect compensation in connection with providing services to the plan. This includes fiduciary services to the plan (or to a plan investment that is subject to the ERISA plan asset rules such as a bank collective fund or an insurance contract), investment advisory services to the plan, recordkeeping services, brokerage services, or certain other services that result in $1,000 or more of indirect compensation.

Disclosure must include descriptions of:

- Services performed. If the covered service provider is acting as a fiduciary or registered investment advisor to the plan, this must also be disclosed. These services require a higher standard of care and related fees must be more closely scrutinized.
- Direct compensation. Fees taken directly from the retirement trust.
- Indirect compensation. Fees received from other sources. Disclosure must include who is paying the compensation and the services for which it is being paid. For example, a mutual fund company may pay a service provider for the omnibus trading activities conducted on its behalf.
- Compensation paid among related parties including service providers, affiliates, and subcontractors. Information on how the compensation is being charged must be provided if applied on a transaction basis, such as commissions, or if charged directly against the plan's investments and reflected in the investment's net asset value, such as a 12b-1 fee. Bundled providers must separately disclose compensation for certain services in those circumstances.
- Termination fees, if any.
- Compensation for recordkeeping services. An estimate must be prepared if there is no specific charge to the plan or participants.
- Investment fees, including expense ratios, commissions, and surrender charges, as well as a description of annual operating expenses and any ongoing expenses. Recordkeepers can rely on disclosures of unaffiliated entities; fiduciaries may not.
- The manner in which the compensation is received.

Timing requirements:
The effective date for the regulation is January 1, 2012. The plan sponsor must receive the disclosures described above before January 1, 2012, for all existing contracts. Initial disclosure for new contracts must be received reasonably in advance of entering into the agreement. Changes to existing agreements must be disclosed as soon as practical, but no later than 60 days from the date the provider is informed of the change, except in extraordinary circumstances. A covered service provider must respond within 30 days following receipt of a written request from a covered plan for any additional information relating to compensation received in order for the plan to comply with reporting and disclosure requirements under ERISA.

What does this mean for the plan sponsor?

At some point before January 1, 2012, you will receive a significant amount of information from your service provider(s). If you have more than one covered service provider working with your retirement plan (or plans) you will receive multiple disclosure reports. The disclosure required is just the beginning of the work required of the plan sponsor. The point of the regulation is not to produce a lot of paperwork; it is to give you the tools to make objective decisions about your plan. Here are the next steps for the plan sponsor:

1. Determine whether you have received all required disclosures from your covered service providers and that the information is complete. Your service provider should develop a uniform approach to responding to this regulation for all of its clients and should be in regular contact with you regarding the information creation and delivery. During the initial compliance period, you may find it helpful to discuss what you receive with your plan's legal advisors to ensure the requirements of the regulation are met and that you understand your obligations with regard to the information you have received.
2. Request information you have not received. If you feel a service provider has not provided the necessary disclosures by the deadline — in whole or in part — request the information in writing. The service provider needs to respond within 30 days to any written request. If the provider still does not respond, you will need to provide a detailed written notice to the DOL. While the service provider does the bulk of the work related to this new rule, the plan sponsor is ultimately responsible for making sure it is received. Without it, the plan's prohibited transaction exemption may be in jeopardy.
3. Understand the disclosure reports you receive. This is where the real work for the plan sponsor begins related to this regulation. Review what you have received carefully with all required individuals — the plan fiduciary, your retirement committee, legal counsel, etc. Make sure you understand how the information is presented and the terminology used. Ask your provider to explain if you are unsure about any aspect of the report. If any fee seems to be duplicated or redundant, discuss with your provider. Check that the fiduciaries and registered investment advisors named in the disclosures are consistent with your understanding of their roles.
4. Discuss the reasonableness of the fees and expenses related to your plan. What is the impact on the costs of the plan, individually and in combination? No one is suggesting that the cheapest option is the best option for your plan, but you do need to justify what you are spending and position it in light of the best interests of your participants. You must be able to demonstrate that the expenses paid for administering the plan and the funds in your lineup are prudent options for your participants, not just the cheapest and not just beneficial for you or your provider.
5. Document your fiduciary actions. Document all procedures and decisions related to the review of the information and fees. "I can't stress enough how important it is for plan sponsors to make sure they have a current review of fees documented in their files," says

Definition of key terms

Bundled services
Plan sponsors may hire several separate vendors to provide services for its plan, with each vendor charging separate fees. Or, a plan sponsor can hire one company to take care of virtually everything. This is called a "bundled" arrangement. If the chosen provider cannot administer all aspects of the plan, the provider — not the plan sponsor — may hire a third party to complete the service. That third party would be paid by the bundled provider out of the fees they are receiving.

Covered service provider
A service provider that expects to receive $1,000 or more in direct or indirect compensation in connection with providing the following services — fiduciary services to the plan or with respect to an investment holding plan assets, investment advisory services to the plan, recordkeeping services, brokerage services, and other services (i.e. accounting, actuarial, valuation) if paid for with indirect compensation.

Revenue sharing
This broad term is often used to describe the payments received by one provider from another provider. Most commonly, revenue sharing occurs when one provider administers a plan that includes a fund from another provider.

As an example, let's say Provider A administers a 401(k) plan for Company M. Provider A includes a mutual fund from Provider B in the lineup of investment options for participants in the Company M 401(k) plan. Provider A takes care of all the administration and recordkeeping for the Company M plan, including services related to the fund from Provider B. Provider B gets revenue from the investments in its fund but doesn't have to perform any of the functions it normally does if each individual had gone directly to Provider B to invest. In this case, Provider B pays Provider A an agreed upon amount for the services it provides for the Provider B fund. Providers following good business practice should proactively disclose these inter-provider payments to the plan sponsor.

Share classes
Some investment funds offer different share classes. The underlying investments of the fund are the same, but the expense ratios and loads may be different. In 401(k) plans, the share class offered may depend on the total asset size of the plan. The larger the plan, the greater the revenue from investments, and the greater the economies of scale. Hence, a different share class with lower expenses might be available.

David Wray, president of the Profit Sharing/401(k) Council of America. "This needs to be a high priority at every company that has a 401(k) plan."

6. Revisit the fees you are paying on a predetermined schedule to ensure they remain reasonable. When changes are made to the fees, new disclosure is required from the provider. In addition, you should choose a time frame to review your plan's fees and expenses to make sure the disclosure is up to date, and analyze whether circumstances necessitate a change in fee structure. If your plan has grown significantly (or decreased), should fees or investments change? Are there new products and service offerings in the industry that are a better option for your plan? A thorough fee review at least once a year will yield the consistent analysis you need to ensure your fees are reasonable and in the best interest of plan participants.

Fee disclosure to participants

Fee disclosure to participants has been a hot topic for many years. Various solutions were floated in the industry and in government to help insure participants and beneficiaries have the information they need to make informed investment decisions — some were helpful, some could have been quite burdensome. In the end, the DOL stepped in to create a regulation that increases transparency while still being workable for sponsors and providers. Much of the information required has always been available, the new rule simply formalizes the disclosure and, in some cases, provides a format to follow the DOL believes will be helpful for participants.

The DOL released the final rule to the Fiduciary Requirements for Disclosure to Participant — Directed Individual Account Plans on October 20, 2010. Here is a closer look at what that rule requires.

Plans affected:
All participant-directed individual account plans subject to ERISA. This final rule does not apply to governmental plans, nonelecting church plans, IRAs, SEPs, SIMPLEs, or non-ERISA 403(b) plans.

Participants affected:
All eligible employees and beneficiaries with the right to direct the investment of their accounts.

Disclosure requirements:
The information that must be disclosed can be broken out into two main categories — plan-related information and investment-related information.

Plan-related information — general

1. A list of available investment alternatives in the plan and the names of any investment managers hired by the plan sponsor to manage a portion of the investments (e.g., separately managed accounts).
2. An explanation of how participants direct investments (e.g., telephone numbers, website addresses).
3. Any plan-imposed transfer restrictions or limitations applicable to any investment option.
4. Descriptions of any voting rights applicable to any investments (e.g., pass-through voting for employer stock).
5. A description of any self-managed brokerage accounts available under the plan.

Timing requirements:
This information must be provided on or before the first day a participant can first direct investments in the plan and annually thereafter. Any changes to the information generally must be disclosed to participants at least 30, but not more than 90, days in advance of any such change.

Impact:
Generally, much of the information included in this section is currently provided to participants via enrollment books, Summary Plan Descriptions, or similar disclosure documents. In addition to the initial disclosures provided to eligible participants prior to participating in the plan, plan sponsors will also need to ensure the information described herein is provided annually.

Plan-related information — expenses

1. An explanation of any plan level administrative fees and expenses that may be charged against participant accounts and how such fees are allocated (e.g., pro rata, per capita). This requirement includes fees such as plan level per-head charges, asset-based wrap fees, or other expenses paid out of the plan that are allocated to participant accounts. Specifically excluded from this requirement are any fees or expenses that are included in the expense ratios of the investment alternatives. However, if a plan pays administrative expenses through revenue sharing arrangements, the explanation must note that, in addition to the disclosed fees, some of the plan's administrative expenses for the preceding quarter were paid from the total annual operating expenses of one or more of the plan's investment funds.
2. An explanation of any individual fees and expenses that may be charged against participant accounts. This requirement includes fees associated with loans, QDROs, distribution charges, investment advice, redemption fees, brokerage windows, and other transaction-based fees to the extent such fees are charged against a participant's account. Once again, fees and expenses embedded in the expense ratios of the investment alternatives are excluded from this disclosure requirement.

Timing requirements:
The general expense information described previously must be provided on or before the first day a participant can first direct investments in the plan and annually thereafter. The DOL noted that the term "participant" includes employees eligible to participate regardless of whether they actually enroll. Any changes to the fee and expense information generally must be disclosed to participants at least 30, but not more than 90, days in advance of any such change.

In addition, on a quarterly basis, the actual dollar amount charged to a participant's account during the previous quarter must be disclosed to the participant along with a brief description of the services that relate to the charges, although amounts disclosed during the quarter (such as on a confirmation) would not have to be disclosed again.

Impact:
The general expense information that must be provided to participants and beneficiaries has been made available to participants in a variety of formats and locations. The final rule will require a more formal and deliberate disclosure of the information, primarily through enrollment books, summary plan descriptions, and other similar disclosures. The annual disclosure requirement does present a potential shift in the way current plan information is delivered to participants. It is likely this information will be combined with the other general plan information and the investment-related information into some form of an annual disclosure document.

The requirement that actual dollar amounts be disclosed quarterly along with a description of the services related to the fees will likely be handled via the participant statement process. Many of the fees are already represented on participant statements but more specific disclosures will need to be developed and included.

Investment-related information:

1. Name of the investment.
2. Type or category (e.g., money market fund, balanced fund, large cap stock fund).
3. Performance data.
   (a) For investments with a fixed rate of return: the stated fixed rate of return and its term, along with any possibility of a change in the fixed rate.
   (b) For other investments: 1-, 5-, and 10- year historical performance data.
4. Benchmark information for investments with a variable return using a broad-based securities index, including the 1-, 5-, and 10-year historical performance of the benchmark.
5. Amount and description of any shareholder-type fees (e.g., redemption fees).
6. Description of any trading restrictions (e.g., round-trip limitations).
7. The expense ratio of the fund expressed in basis points.
8. The expense ratio of the fund expressed as a dollar amount for a $1,000 investment (e.g., expense ratio multiplied by $1,000).

For plans with employer stock, items 7 and 8 do not apply unless the employer stock fund is maintained on a unitized basis. The final rules also include specific instructions as to how to calculate historical performance data for employer stock funds.

In addition to the specific investment-related disclosures described above, the final rules require a general disclosure that includes the following:

1. Statement that past performance is not a guarantee of future results.
2. Statement that fees and expenses are only one of several factors that participants and beneficiaries should consider when making investment decisions.
3. Statement that the cumulative effect of fees and expenses can substantially impact a participant's rate of return and that an example of that impact can be found at the Employee Benefit Security Administration's (EBSA) website.
4. A glossary of terms to assist participants in understanding investment alternatives. This portion of the disclosure can be satisfied by providing a website address for the information.

The final rule also requires that a website address be provided to participants that will give them access to additional prospectus-type fund information for each investment alternative, as well as information on how to request paper copies free of charge.

The DOL has created a sample comparative chart that can be used to satisfy the investment-related disclosure requirements. http://www.dol.gov/ebsa/

Timing requirements:
This information must be provided on or before the first day a participant can first direct investments in the plan and annually thereafter. In addition, if a plan provides for the pass-through of voting rights to participants, materials relating to the exercise of those voting rights must be provided subsequent to any initial investment in the investment alternative to which the voting rights apply. As under current rules, prospectuses and other information created by the fund companies must be provided to participants upon request. However, prospectuses are no longer required to be provided the first time a participant invests in a fund.

Format:
The final rules require that the information described above be disclosed in a "comparative format" that is designed to facilitate a comparison of such information for each investment alternative.

Impact:
This part of the final rule includes a significant amount of information that must be provided to participants and beneficiaries. Fortunately, the DOL has provided a sample format to provide the data that will assist plan sponsors and service providers in complying with the requirements. Additional analysis will need to be completed to find the most efficient and cost-effective way to provide this data in an understandable and timely format.

Effective date:
The final rule included an effective date of December 20, 2010. However, given the significant amount of effort that will be needed to implement the rule, the DOL has provided that the rules will not apply to plans until plan years beginning on or after November 1, 2011. What this means is that calendar year plans will need to start complying with the rule on January 1, 2012.

What does this mean for the plan sponsor?

Much of the information to be disclosed to participants is already provided but not necessarily as described in the new rule. There is work to be done, but in most cases it's fine-tuning to be done... not recreating the wheel. In addition, one of the benefits of this rule is that plan sponsors are no longer required to provide prospectuses to participants in order to take advantage of the fiduciary protections afforded under ERISA Section 404(c).

The "Tools of disclosure" on page six touches briefly on the many communication vehicles you and your provider have at your disposal to deliver the required information to participants. Work with your service provider to create a disclosure communication strategy that meets the regulation guidelines and is effective for your plan.

Throughout all discussions about fees, part of your overarching message to participants should be one of reassurance that, as the plan sponsor, you are periodically reviewing plan expenses, service providers, and industry practices to ensure that costs are fair and reasonable. While the regulations require disclosure of hard and fast numbers, a plan sponsor would be well-served to put the information into a larger context — letting employees know that the information leads to a thorough review on a regular basis. This message could be part of an employee meeting, an article in an employee publication, or in a letter accompanying the annual disclosure. Partner with your provider to develop a communication approach that will be easy to coordinate and easy for participants to understand.

Tools of disclosure

In the next few months, expect some clarity to arise out of what is now a long list of disclosure items. Industry groups will work together to address how best to satisfy the regulation requirements. Open dialogue with your service providers throughout the year will provide the latest information and provide reassurance your approach will meet standards.

Your plan provider probably already discloses much of the information that is necessary to share with the participant. Still, make it a point to review with your provider all the options that exist. Also, review changes to materials to ensure they are as clear as possible.

Here are just a few of the communication tools that may play a key role in delivering the required disclosure:

Enrollment guide. Enrollment materials are already typically scheduled to go to newly eligible employees as part of an automated process. Adding required disclosures can meet the needs of the regulation by providing the information to these employees before they are able to direct their investments.

Wells Fargo's approach

Helping plan sponsors understand plan fees and expenses is a key component of the service Wells Fargo provides to its clients. Not only will we provide the necessary plan sponsor disclosure required by the regulations, but we will also help you meet your obligations to disclose information to your employees.

Wells Fargo is committed to providing timely and accurate disclosures that convey a consistent message, while also addressing the specific requirements set forth in the regulations for each group. For all audiences, Wells Fargo will work with you to help you meet the disclosure requirements as part of our ongoing commitment to delivering outstanding client service.

For the sponsor
Wells Fargo is developing a comprehensive fee disclosure summary for plan sponsors to meet 408(b)(2) disclosure requirements. The summary incorporates all fees into one document for streamlined delivery of information.

This summary will be provided to existing clients prior to the effective date of the rule (currently January 1, 2012). New clients will receive the summary in advance of entering into an agreement with Wells Fargo (as required by the regulation) and it will also be part of the legal agreements to be executed.

Although not required by the regulation, we will also provide an updated disclosure to our clients on an annual basis. We will incorporate summary information into our fee transparency report to demonstrate how certain fees (e.g., revenue share) translate to actual dollars.

For plan participants
Wells Fargo has identified the most logical places to include information required by this regulation, specifically leveraging existing participant statements and enrollment materials. We are enhancing how fee information is presented on statements in light of the regulatory requirements. We will also modify fund information similar to how it is presented in the DOL sample comparative chart. The chart will be updated annually, at a minimum.

In addition, Wells Fargo is developing enhanced website resources for fee and expense information. This additional channel of communication is intended to go beyond the regulatory requirements and provides greater options for reaching your participants.

For eligible, non-participating employees
Inactive participants must receive fee disclosure information as well; however, if they do not have an account balance they do not receive quarterly statements – a preferred method of routinely disclosing the necessary information. We will use ongoing communication, such as participation campaigns, to deliver the information when practical. We will work with our plan sponsors to find the best way to distribute information to non-participating employees, considering the size of the audience, available communication methods, cost to distribute, and other relevant factors.

Summary Plan Description (SPD). SPDs are another tool to consider since they are already a required document distributed to employees.

Prospectuses/fund fact sheets. Prospectuses and fact sheets provide much of the information required related to your plan's investments.

Quarterly statements. Statements can play a huge role in meeting the requirement that actual dollar amounts of fees and expenses must be disclosed, with a description of services related to the charges. Talk with your statement provider about changes they are making to address the new requirements.

Web messaging. Use the web messaging capabilities of your provider to share relevant information to your participants about fees incurred. Provide accurate descriptions via the website, so a participant knows what a fee is (for example, a loan initiation fee).

Discussion at employee meetings. While you probably don't need to have a special meeting regarding fees, you can incorporate fee information in discussions about other aspects of the plan. If you have started to receive questions about fees, it's good to proactively address the questions and tell participants where they can find more information.

Annual notices. If your plan distributes other annual notices (such as a safe harbor notice) to participants, consider whether consolidating these requirements into one communication package can meet your needs.

Sponsor checklist

- ❑ Understand what is required of the plan sponsor under the new disclosure rules.
- ❑ Identify all of the covered service providers for your plan(s) that will need to (a) provide disclosure to you related to their compensation and (b) will need to work with you to communicate required disclosure to participants.
- ❑ If employer stock is used, confirm who is responsible for providing disclosure.
- ❑ Over the next few months, talk to each service provider about their process for delivering the required information by the deadlines.
- ❑ Work with your provider as they respond to the disclosure requirements.
- ❑ Confirm service providers are on schedule to deliver service provider fee disclosure and have all applicable participant disclosures in place by January 1, 2012.
- ❑ Create a communication plan for discussing fees with your participants.
- ❑ Once compensation information is received from your provider, understand all of the fees being paid related to your plan.
- ❑ Understand how your fees compare to industry standards.
- ❑ Pay special attention to obvious causes of concern for your participants — index funds with high expense ratios, low performing funds, etc.
- ❑ Review all investments and make changes to investment options, if necessary.
- ❑ Document your justification for the expenses you pay and all decisions related to your plan to create a written history of your fiduciary actions.
- ❑ Review your plan document and make any needed amendments.
- ❑ If target date funds are used, be on the lookout for future DOL guidance.
- ❑ Stay informed of fee-related lawsuits and legislative changes. More information will likely be provided to help clarify your plan administration and communication approach.
- ❑ Revisit fees and expenses, at least once a year, with your plan provider and all other consultants and entities working for your plan.

Keep an open dialogue

Perhaps the best news related to disclosure regulation is that you are not in this alone. In most cases, your service providers will do a majority of the work to provide the necessary disclosure to you and your participants. However, your role as plan sponsor and fiduciary is to ensure your providers are giving you what you need in a timely manner.

To help you get and stay on track regarding fee disclosure, use the sponsor checklist above. Stay involved throughout the process to ensure that there are no surprises as deadlines approach.

For more information, please contact Wells Fargo at 1-800-690-9721.

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